Table 50.9 Busted Patterns

Description	Bull Market	Bear Market
Busted patterns count	1,077 or 27%	184 or 13%
Single bust count	716 or 66%	107 or 58%
Double bust count	59 or 5%	5 or 3%
Triple+ bust count	302 or 28%	72 or 39%
Performance for all busted patterns	48%	28%
Single busted performance	65%	37%
Non-busted performance (pipe bottoms)	54%	33%

Failures over time. Failures were lowest in the 1990s but not much higher over the next two decades.

Table 50.9 shows busted pattern performance.

Busted patterns count. More than one in four bull market pipes will bust. That means a stock showing a pipe will see price drop no more than 10% after the breakout before reversing and closing above the top of the pipe.

Busted occurrence. Bull market pipes have a higher tendency to single bust than those in bear markets. I guess that makes sense because pipes are bearish. They should do better in bear markets.

Busted and non-busted performance. I compared the performance of busted pipe tops with pipe *bottoms* (as a proxy for a pipe top with an upward breakout).

Single busted pipes outperformed pipe bottoms in both bull and bear markets. The problem with trading a busted pipe is that you don't know if it'll single bust or not. So look for overhead resistance that may interfere with a rising price trend. If it's nearby, then ask if you think price will be able to push its way through.

Trading Tactics

Table 50.10 shows trading tactics for pipe tops.